

# SFDR PAI Data Vendor Conflict

## Problem

Two ESG vendors provide conflicting Principal Adverse Impact values for the same issuer.

## Regulatory Requirements

SFDR, EET standards.

## Options Considered

A: Average values. B: Select preferred vendor. C: Apply hierarchy and exception review.

## Decision

Apply vendor hierarchy and exception review.

## Reasoning

A controlled hierarchy creates consistent output and audit trail.

## Risks

Methodology disputes, slower updates, client override requests.